Journal of International Development
J. Int. Dev. **29**, 851–854 (2017)
Published online 12 May 2017 in Wiley Online Library
(wileyonlinelibrary.com) DOI: 10.1002/jid.3279

SHORT NOTE

BIASED ARBITRATORS AND TRIBUNAL DECISIONS AGAINST DEVELOPING COUNTRIES: STYLIZED FACTS ON INVESTOR-STATE DISPUTE SETTLEMENT

PETER NUNNENKAMP*
Kiel Institute for the World Economy, Kiel, Germany

Abstract: Based on UNCTAD's database on investor-state dispute settlements (ISDS), we find that many cases raised against developing countries are handled by fairly unbiased tribunals. As for ISDS outcomes, the overall ratio of investor wins over state wins is below one. Nevertheless, it is harder for developing countries, compared to high-income countries, to achieve state wins in international arbitration of investment disputes. Copyright © 2017 John Wiley & Sons, Ltd.

Keywords: investor-state dispute settlement; arbitrators; pro-investor bias; developing countries

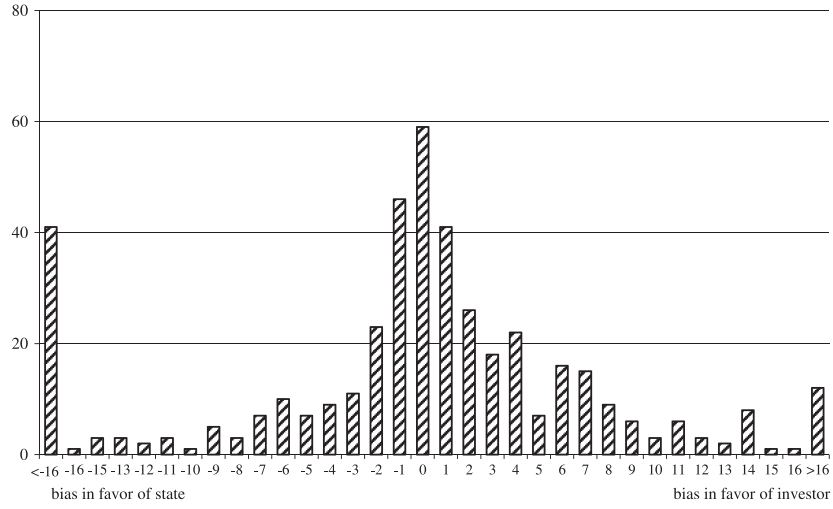
1 INTRODUCTION

Van Harten (2012) argues that international investment arbitration generally favours the position of claimants, that is, private investors, over respondent states, and in particular the position of investors based in rich capital-exporting countries. Poor respondent states may be the first to suffer because of their weak bargaining position. Indeed, Behn *et al.* (2017: 1) find that 'poorer states remain vastly more likely to lose in arbitration than wealthier states'.

Self-interested and biased arbitrators are often held responsible for the legitimacy crisis of international investment arbitration. In particular, 'critics hypothesize that investment arbitrators favour their appointing party in a self-interested effort to increase the likelihood of future appointments' (Rogers, 2014: 226). However, as stressed by Rogers (2014), such hypotheses have largely remained untested.

*Correspondence to: Peter Nunnenkamp, Kiel Institute for the World Economy, Kiel, Germany.
E-mail: peter.nunnenkamp@ifw-kiel.de

Copyright © 2017 John Wiley & Sons, Ltd.



Source: UNCTAD, ISDS database.

Figure 1. Distribution of investor-state dispute settlement cases against developing countries according to bias of arbitration tribunal

Data collected by the United Nations Conference on Trade and Development (UNCTAD) on investor-state dispute settlement (ISDS) since the late 1990s may help in filling this gap. The database includes information on arbitrators for most disputes brought to international arbitration. At the same time, UNCTAD reports for most of the concluded cases whether arbitration tribunals reached a decision in favour of the private investor or in favour of the respondent state. Consequently, the available information allows us to assess whether biased positions of arbitrators are correlated with arbitration outcomes, and in particular with tribunal decisions against relatively poor respondent states.

2 HOW BIASED ARE ARBITRATORS?

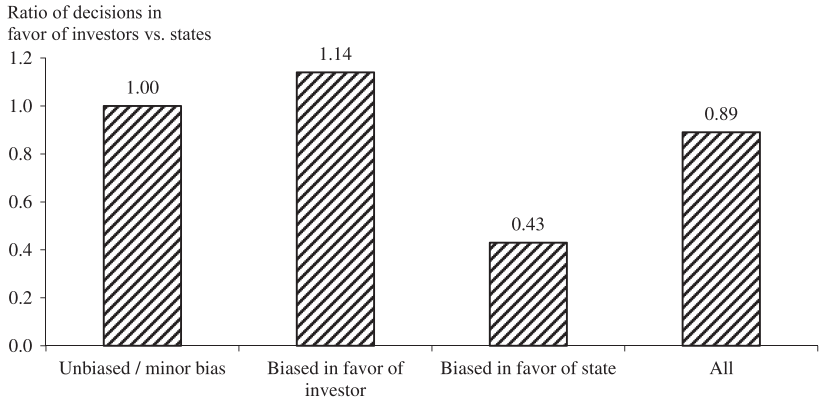
Typically, three arbitrators are involved in each case of ISDS: the arbitrator appointed by the private investor (claimant), the arbitrator appointed by the respondent state, and the president on whom both parties have to agree. Most arbitrators are 'specialized' in the sense that they serve predominantly in one function; for example, about half of all arbitrators were active exclusively as representatives of either claimants or respondent states. The degree of specialization, in combination with the frequency of being involved in ISDS, defines our case-specific and time-varying measure of 'bias' of arbitrators. More precisely, we define bias by the accumulated number of disputes in which the arbitrator has served as representative of claimants minus the accumulated number of disputes in which the arbitrator has served as representative of respondent states in previous years, that is, prior to cases initiated in the current year. Positive values of this difference reveal bias in favour of claimants; negative values reveal bias in favour of respondent states. The 'consolidated bias' of each tribunal is then given by the sum of the three arbitrators' individual biases.

About one third of all 430 cases raised against developing countries are handled by unbiased tribunals or tribunals with just minor consolidated bias (in favour of either

Copyright © 2017 John Wiley & Sons, Ltd.

DOI: 10.1002/jid

10991328, 2017, 6, Downloaded from https://onlinelibrary.wiley.com/doi/10.1002/jid.3279 by Central South University, Wiley Online Library on [09/03/2026]. See the Terms and Conditions (https://onlinelibrary.wiley.com/terms-and-conditions) on Wiley Online Library for rules of use; OA articles are governed by the applicable Creative Commons License



Source: UNCTAD, ISDS database.

Figure 2. Bias of arbitration tribunals and investor-state dispute settlement decisions in favour of investors versus states with low and middle income

party).[1] The remaining disputes are split between tribunals with stronger pro-investor bias and stronger pro-state bias. Taken together, Figure 1 qualifies the public perception that arbitration tribunals are typically biased strongly against (developing) respondent states.

3 BIAS AND ISDS OUTCOMES

Investor-state dispute settlement outcomes are reported by UNCTAD for a smaller number of disputes because many cases were still pending by September 2016. Moreover, we are particularly interested in tribunal decisions in favour of either the claimant or the respondent state.[2] This leaves us with 197 observations on cases raised against developing countries.

Figure 2 shows that cases are decided more often in favour of developing respondent states than in favour of claimants. The ratio of investor wins over state wins amounts to 0.89 for all cases. This ratio is higher than for cases against states with high per-capita income (not shown in the figure), which is in line with Behn *et al*. (2017) who find that developing countries are more likely to lose in arbitration than high-income countries. However, the observation that the ratio is still below one is in conflict with the impression in public debate that tribunal decisions are mostly in favour of private investors.

Accounting for the bias of tribunals, the ratio of investor wins over state wins exceeds the average ratio only modestly as long as disputes are decided by unbiased and just slightly biased tribunals (Figure 2). The ratio rises more pronouncedly when disputes are decided by tribunals with stronger bias in favour of investors—and it falls dramatically for cases handled by tribunals with stronger bias in favour of states. The ratio of 1.14 reveals that disputes are more often decided against respondent states with low and middle incomes when tribunals are biased in favour of claimants. In contrast, this ratio is still below one when including respondent states with high income in the calculation (not shown). This underscores that mainly poorer countries are running the risk of losing disputes decided by tribunals biased against states.

[1]The bias is considered minor if not exceeding one (in absolute terms).
[2]Sixty-two cases against developing countries were concluded by settlements; 22 cases were discontinued.

Copyright © 2017 John Wiley & Sons, Ltd.

DOI: 10.1002/jid

10991328, 2017, 6, Downloaded from https://onlinelibrary.wiley.com/doi/10.1002/jid.3279 by Central South University, Wiley Online Library on [09/03/2026]. See the Terms and Conditions (https://onlinelibrary.wiley.com/terms-and-conditions) on Wiley Online Library for rules of use; OA articles are governed by the applicable Creative Commons License

4 SUMMARY

Based on UNCTAD's database on ISDS, we find that many cases raised against developing countries are handled by fairly unbiased tribunals. This is not particularly surprising once it is taken into account that state-appointed arbitrators are no less pro-state than investor-appointed arbitrators are pro-claimant.

As for ISDS outcomes, the overall ratio of investor wins over state wins is below one. Nevertheless, it is harder for developing countries, compared with high-income countries, to achieve state wins in international arbitration of investment disputes. Closer inspection suggests that this is largely because of the presidents of tribunals who are biased more often in favour of investors than in favour of developing countries. The states' own representatives in tribunals seem to have less influence on ISDS outcomes.

The available evidence suggests that respondent states should pay particular attention to the selection of the tribunals' presidents. According to Rogers (2014), few developing countries have made nominations to the list of potential presidents so far. This would have to change in order to strengthen the representation of the interests of developing countries in international arbitration of investment disputes.

REFERENCES

Behn D., M. Langford and T.L. Berge 2017. Poor states or poor governance? Predicting outcomes in investment treaty arbitration. *Review of Law and Economics*, forthcoming.

Harten V. 2012. Arbitrator behavior in asymmetrical adjudication: an empirical study of investment treaty arbitration. *Osgoode Hall Law Journal* **50**(1): 211–268.

Rogers CA. 2014. The politics of international investment arbitrators. *Santa Clara Journal of International Law* **12**(1): 223–262.

Copyright © 2017 John Wiley & Sons, Ltd.

DOI: 10.1002/jid

10991328, 2017, 6, Downloaded from https://onlinelibrary.wiley.com/doi/10.1002/jid.3279 by Central South University, Wiley Online Library on [09/03/2026]. See the Terms and Conditions (https://onlinelibrary.wiley.com/terms-and-conditions) on Wiley Online Library for rules of use; OA articles are governed by the applicable Creative Commons License